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SNLB Farms

Comprehensive Feasibility Study

Commercial tomato farming on a leased 100-hectare master block in Ogun State, Nigeria, supplying Mile 12 International Market, Lagos. A self-funding expansion from 1 hectare to 100 hectares through two-cycle production, 50/50 reinvestment and progressive mechanization.

Prepared	**August 2026**
Horizon	**5 years / 10 cycles · 1 ha → 100 ha in six cycles (3 years)**
Planning case NPV	**₦5.12 billion at 18% (Peak-first, 5-year, no terminal value)**
Opening capital	**₦8.0 million (₦3.0m CapEx + ₦5.0m Cycle 1 working capital)**
Includes	**SWOT · ESG · charts · NPV/IRR · three scenarios · optional ₦80m facility**
Classification	**Planning document — not financial, legal, tax or investment advice**

OGUN STATE → MILE 12, LAGOS

SELF-FUND PATH · OPTIONAL EXTERNAL FACILITY

Commercial Tomato Farming on a Leased 100-Hectare Master Block
Ogun State, Nigeria — supplying Mile 12 International Market, Lagos

A self-funding expansion from 1 hectare to 100 hectares, driven by two-cycle annual production, disciplined 50/50 profit reinvestment, progressive mechanization, and a complete cost, CapEx and tax stack sized for promoters and, if later required, lenders.

Field	Detail
Entity	SNLB Farms
Prepared	August 2026
Horizon	Year 1–Year 5 (build-out in six cycles / three years; steady state Years 4–5)
Currency	Nigerian naira (₦), nominal
Planning case	Peak-first (non-glut) — 20/18 t/ha, ₦33,000 / ₦145,000 baskets, full operating stack, NTA 2025 tax
Classification	Confidential planning document

Purpose. This study assesses the commercial viability of phased hybrid tomato production on a contiguous 100-hectare master block in Ogun State, with produce sold into Mile 12 International Market (≈1.5 hours). It sets out the operating model, market, agronomy, expansion path, three financial scenarios, charts, discounted cash flow, optional facility terms, risk, ESG, and the conditions for first planting.

Disclaimer. Figures are illustrative projections on stated assumptions. They are not guarantees. This document is not financial, legal, tax or investment advice. Independent professional advice is required before capital is committed.

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1. Executive Summary

This study assesses a phased tomato farming venture established on a single leased hectare within a contiguous **100-hectare master block** in Ogun State, Nigeria. Produce is transported roughly **1.5 hours** to Mile 12 International Market in Lagos — West Africa's largest fresh-produce terminal.

The operating model runs **two production cycles per year** on every hectare under cultivation:

- **Peak (Scarcity / non-glut) Season** (July–November) — national northern supply tightens and Mile 12 prices rise; **Cycle 1 and the planning case**.
- **Regular Season** (December–June) — dry-season glut window; the second cycle each year, not the price the plan is built on.

The first cycle is **Peak, on one hectare**, timed into the July–November scarcity window. Every cycle afterward alternates Regular and Peak as the footprint grows. From Cycle 5, about **70% of volume** is sold under bulk tonnage contracts so that scale does not flood the Mile 12 spot auction.

Agronomic targets sit at the conservative end of NIHORT's intensive range (20–40 t/ha): **20 t/ha Regular / 18 t/ha Peak**, with drip and best practice from transplant one. The **planning case** uses those yields and Mile 12 **non-glut** prices — **₦145,000 Peak / ₦33,000 Regular**. An **upside case** adds the NTA 2025 five-year agricultural income-tax holiday. A **stress case** applies the January 2025 glut floor, weaker Peak prices, lower yields and faster cost inflation. Glut at ₦22,000 is a caution, not the plan.

Capital allocation follows a **50/50 rule** at every cycle close: half of net profit is a cash buffer; half is reinvested into adjacent hectares, drip extension and, later, packhouse infrastructure. Land added per cycle is capped at **+45 ha**, the practical ceiling on preparation, irrigation and staffing in a single six-month window. Under that combination the venture reaches the full 100-hectare block in **six cycles — three years**.

Opening capitalization is **₦8.0 million**: ₦3.0 million of irrigation infrastructure and basic equipment, and ₦5.0 million of Cycle 1 working capital. Growth after Cycle 1 is funded from retained earnings. External debt is not required to reach 100 ha. An optional ₦80 million production facility from Year 2 is specified so that a BOA or NIRSAL-wrapped bank file is ready if the promoters later choose it.

Key figures at a glance — planning case (Peak-first, non-glut)

Metric	Value
Starting scale (Cycle 1)	1 ha, Peak / non-glut (Jul–Nov)
Agronomic and planning yield	20 t/ha Regular / 18 t/ha Peak (NIHORT-sourced; drip from Cycle 1)
Planning prices (50 kg basket)	₦145,000 Peak / ₦33,000 Regular
Expansion path	1 → 3 → 15 → 27 → 72 → 100 ha, capped at +45 ha/cycle
Time to full 100 ha	6 cycles — 3 years
Opening capital	₦8,000,000 (₦3.0m CapEx + ₦5.0m Cycle 1 WC)
Year 1 NPAT / net margin	₦46.5m / 50.6%
Year 3 NPAT / net margin	₦2.57bn / 54.5% (first year the block is full)
Cycle 1 break-even	₦18,654 / basket vs ₦145,000 Peak (87.1% margin of safety)
Cycle 1 net profit	₦30.0 million on ₦52.2 million revenue
Sales-unit transition	From Cycle 5 (72 ha): ≈70% bulk / 30% spot
Cumulative buffer by Year 3	₦1.62 billion
5-year NPV @ 18% (no terminal value)	₦5.12 billion
Optional ₦80m facility — minimum DSCR	113× planning; 4.0× stress

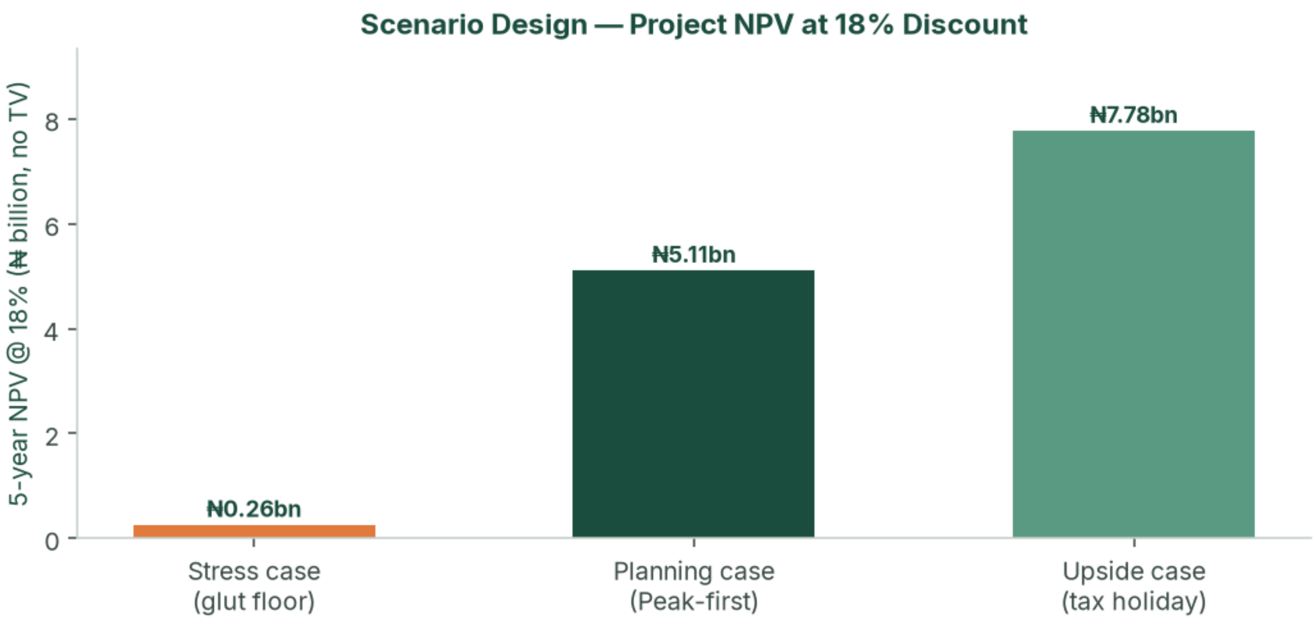

Figure: Three designed scenarios — stress, base (planning) and upside — 5-year NPV at an 18% agri-risk discount, no terminal value.

Feasibility verdict

The venture is **feasible**. It combines (a) a structural national supply deficit for fresh tomatoes, (b) a durable Ogun–Lagos logistics advantage versus long-haul northern producers, (c) a Peak-first calendar that sells Cycle 1 into Mile 12 scarcity rather than glut, and (d) a cycle-level 50/50 allocation that funds land under cultivation while building a cash buffer. The pace of the plan is governed by how quickly new land can be prepared, staffed and irrigated — not by how much capital is available after Cycle 1.

2. Business Overview & Strategic Model

2.1 Concept & business model

The venture leases (and options) the full contiguous 100-hectare block in Ogun State before operations begin, then brings parcels into cultivation as retained profit allows. Because the block is already secured, each expansion step is operational — drip, land prep, staffing — rather than a new land negotiation.

- **Cycle 1 — Peak / non-glut.** One hectare; harvest into July–November scarcity; first Mile 12 relationships at scarcity prices.
- **Cycle 2 — Regular Season.** Three hectares; harvest into the December–June glut window; the first glut test, after Peak cash is already in the bank.
- **From Cycle 3.** Peak and Regular alternate on the growing footprint. Produce moves Ogun → Mile 12 in about 1.5 hours, in 50 kg baskets, until the Cycle 5 bulk transition.

The land structure used in the model is the one a lender or careful promoter would want: **₦200,000/ha/year** on cultivated hectares plus a **₦25,000/ha/year holding fee** on unused option land, with the lease/option assignable. Lease-to-own conversion from Year 2, funded from the buffer, builds collateral.

2.2 Capital allocation — the 50/50 rule

At the close of **every cycle**:

- **50% reinvested** — next-cycle working capital, drip on newly added hectares, and triggered shared infrastructure (boreholes, packing shed, packhouse).
- **50% retained as buffer** — weather, pest, weak-price or mobilisation delay, without a pause in operations.

Hectares are added only up to what the reinvestment pool can fund, and never more than **+45 ha** in one cycle. From Cycle 4 the operating ceiling, not cash, binds.

2.3 Mechanization roadmap

The venture is asset-light. Machinery is rented per cycle from a farm-management company as acreage crosses defined thresholds. Discounts apply to **base production cost only**.

Stage	Trigger	Approach	Effect on unit cost
Stage 0 — Manual	< 5 ha	Manual land prep; FMC in advisory capacity	Baseline
Stage 1 — Rented core fleet	5–24 ha	Tractors and tillers rented per cycle	≈7%
Stage 2 — Bulk + fleet	25–59 ha	Bulk inputs plus expanded rented fleet	≈14%
Stage 3 — Full mechanization	≥ 60 ha	Master service contract; optional owned implements	≈20%

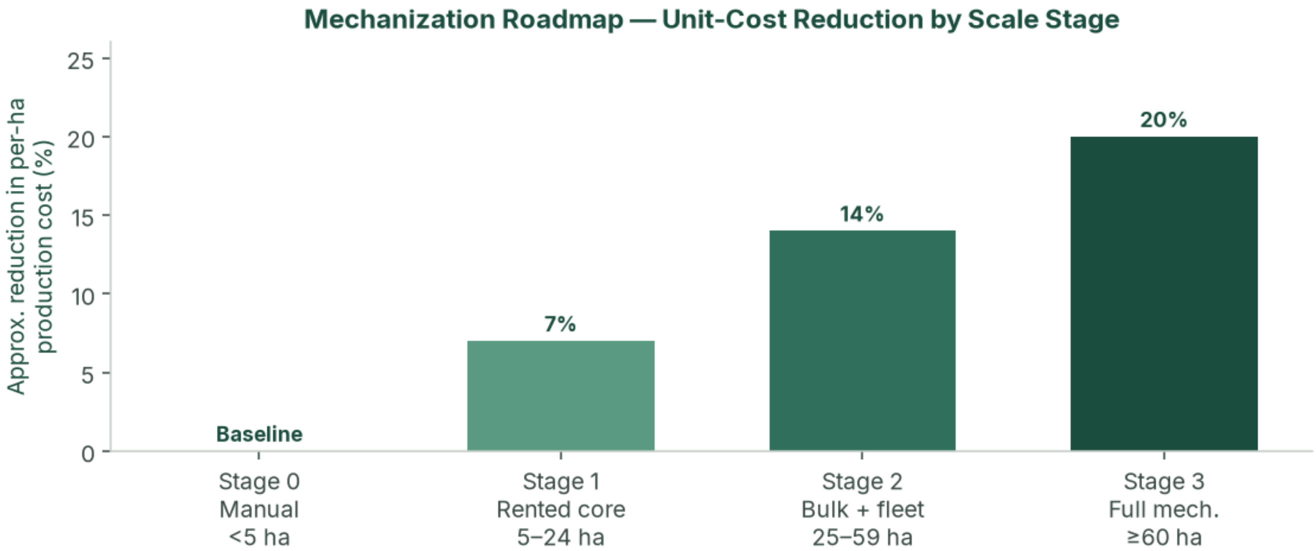

Figure: Mechanization stages and approximate per-hectare cost reduction. Applied as a discount to base production cost in the financial model.

2.4 Value proposition

- **Strategic market access.** 1.5-hour transit to Mile 12 versus 36–48 hours from the north, cutting post-harvest spoilage to under 5% against 40%+ for long-haul competitors.
- **Countercyclical supply.** Reliable volume in the months when the broader market is scarcity-constrained.
- **Scalable, capital-light growth.** Self-funded path from 1 to 100 ha in three years, without owning a tractor fleet.
- **Self-funding resilience.** The 50/50 policy funds growth and insulates against a single bad cycle.

2.5 Competitive advantages

- **Capital wall.** All-in production of roughly ₦3.4m–₦3.8m per hectare (planning case, before scale discounts) keeps casual entrants out.
- **Know-how.** Two-cycle timing, hybrid seed, drip and mechanization coordination.
- **Geographic insulation.** Ogun is structurally less exposed to northern *Tuta absoluta* (“tomato Ebola”) outbreaks that drive the price spikes Peak cycles are timed to meet.
- **Auditable track record.** Cycle-level books from harvest one make the venture financeable if external capital is later sought.

2.6 SWOT analysis

	Helpful	Harmful
Internal	**Strengths:** Ogun proximity (1.5 h vs 36–48 h north); Peak-first scarcity capture; 50/50 discipline; master option/lease; drip from Cycle 1; asset-light mechanization; phased drip and packhouse CapEx inside the model.	**Weaknesses:** Mile 12 concentration until Cycle 5; operational bandwidth (staffing and land prep) binds before capital; thin management in early cycles; working-capital intensity per hectare; no owned cold chain until the Cycle 5 packhouse trigger; Cycle 1 timing risk is front-loaded.
External	**Opportunities:** Structural deficit and US$350–400m paste imports; processor offtake (Dangote, Tomato Jos); NATIP, ACGSF, Ogun SAPZ; NTA 2025 agri tax holiday on the upside case; lease-to-own collateral.	**Threats:** Missed Peak window; January 2025 glut prints of ₦13–15k on Regular cycles; input inflation (NBS food 16.96% May 2026); Peak pest pressure; new southern intensive entrants; lease/tenure defect; Regular harvest at 100 ha without bulk contracts.

3. Market Analysis

3.1 Macro market — the Nigerian tomato industry

Nigeria is Africa's second-largest tomato producer (≈**3.7 million tonnes**) and still imports an estimated **US$350–400 million** of tomato paste a year. Tomatoes are a staple vegetable with inelastic household demand. The paradox — large output, large imports, violent retail spikes — is explained by rain-fed smallholder yields of **4–10 t/ha**, **40–50%** post-harvest loss on the north–south corridor, and recurring *Tuta absoluta* events that can destroy 50–100% of affected northern fields.

Policy is supportive rather than a cash input to the model: NATIP 2022–2027, ACGSF (up to 75% guarantee on qualifying agricultural loans), FX frictions on some paste imports, and Ogun State's Special Agro-Industrial Processing Zone.

3.2 Micro market — Mile 12 International Market, Lagos

Mile 12 absorbs an estimated **1,000+ tonnes of tomatoes a day** for a Lagos population above 20 million. Price discovery is daily, auction-style, in 50 kg "big baskets." Selected verified points (not a continuous series; gaps are not interpolated):

Period	50 kg basket	Context
Aug 2024	₦50,000	Seven-month low; down 58% from ~₦120,000 Jan/Feb 2024
Dec 2024	₦35,000–₦55,000	Dry-season glut, quality-dependent
Jan 2025	₦13,000–₦15,000	Deep glut — **stress-case Regular floor**
Feb 2025	₦40,000	Recovery
Late May / early Jun 2026	₦60,000–₦70,000	Inter-peak trough
Early Jul 2026	₦120,000–₦150,000	Scarcity spike — **planning Peak reference**

The **planning case** sells Peak at **₦145,000** and Regular at **₦33,000** — non-glut Mile 12 prices for graded hybrid fruit, aligned with the July 2026 scarcity print and the ordinary glut-window cluster. **₦22,000 is not the plan**; it is a weak-glut caution. The **stress case** uses the January 2025 crash (₦15,000) and a weak Peak (₦55,000).

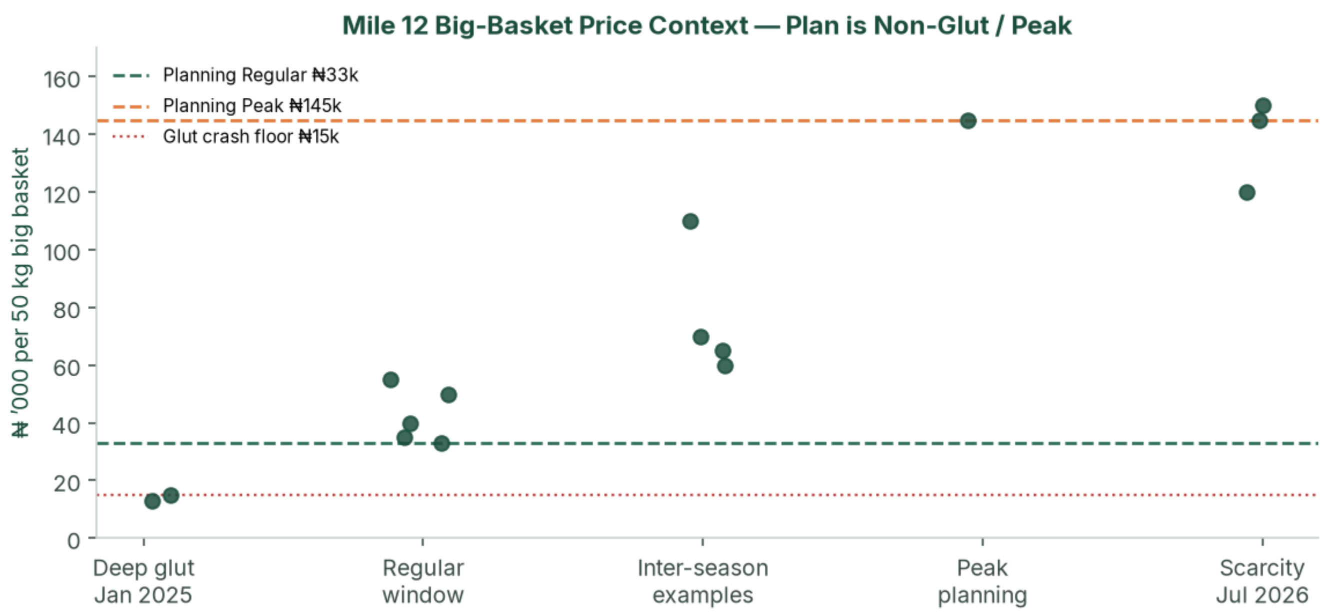

Figure: Selected Mile 12 big-basket points against planning prices (₦33k Regular / ₦145k Peak). The plan is the non-glut / Peak window, not the January crash.

3.3 Value chain positioning

About **98%** of national production comes from smallholders on 1–5 ha plots, selling as price-takers to aggregators who truck produce 1,000+ km south and typically lose 40%+ of the load. By supplying Ogun → Mile

12 directly, the venture skips aggregator and long-haul layers, offers a fresher graded product, and is positioned for processor offtake at scale.

3.4 Competitive landscape

Cohort	Versus this venture
Northern smallholders and aggregators	Dominant volume; high spoilage; create the scarcity Peak cycles sell into
Large northern commercial (e.g. Olam-Caraway, Jigawa)	Demonstrated 30–40 t/ha; still long-haul to Lagos; more processing-oriented
Southern / peri-Lagos intensive growers	Limited scale today; capital wall plus two-cycle know-how is the barrier
Processors (Dangote Tomato, Tomato Jos)	Structurally short of consistent fruit — Cycle 5+ offtake, not Cycle 1 cash

3.5 Demand outlook & addressable market

At 100 ha the planning case produces **3,800 tonnes per year** (Years 4–5). That is about **3–4 days** of Mile 12 throughput — material to named wholesalers, not the terminal as a whole — provided Cycle 5 bulk contracts are in place.

Offtake design from Cycle 5: ~50% standing wholesale contracts, ~20% processor/institutional, ~30% Mile 12 spot. No single counterparty above **40%** of a cycle without board consent. Two letters of intent before Cycle 3; a bulk term sheet before Cycle 5 planting. Do not take the Cycle 6 Regular step to 100 ha unless that glut-window harvest is contracted.

4. Site, Agronomy & Operations

4.1 Ogun State growing conditions

Deep, well-drained soils suitable for intensive irrigated tomato; 1.5-hour corridor to Lagos; SAPZ road and tenure context; two climatic windows that map onto Peak and Regular. **Soil laboratory tests and a borehole yield/quality test on the first 10 ha are conditions of first planting.** Until those exist, yield is a planning assumption. The planning case uses the agronomic target because drip and best practice are in from Cycle 1.

4.2 Hybrid seed and yield

Cultivars: **Eva F1 / Platinum F1**, with NIHORT HortiTom4 / HortiTom5 (reported potential 21.7–27.2 t/ha) on a side-by-side trial from Cycle 2.

Source	Yield
Smallholder rain-fed	4–10 t/ha
NIHORT intensive guidance	20–40 t/ha
Olam-Caraway (Jigawa)	30 t/ha out-grower; up to 40 t/ha company fields
Agronomic and planning yield	**20 t/ha Regular / 18 t/ha Peak**
Stress case	**15.0 / 13.5 t/ha**

Unit convention: 1 tonne = 20 baskets of 50 kg. Peak yield is 10–12% below Regular for rainy-season disease pressure. Each cycle is 60–90 days transplant to harvest.

4.3 Two-cycle production calendar

Cycle	Window	Planning yield	Planning price	Role
Peak / non-glut (Cycle 1 first)	Jul–Nov	18 t/ha (360 baskets)	₦145,000/basket	First harvest; scarcity capture
Regular	Dec–Jun	20 t/ha (400 baskets)	₦33,000/basket	Second cycle; glut window after Peak cash is in

Planting weeks are reverse-engineered from the target Mile 12 window. **A Peak harvest that misses the scarcity window is the principal operating way to weaken the plan.** Cycle 1 is therefore timed into July–November, not into the glut.

4.4 Irrigation, soil and pest management

Drip plus fertigation on every productive hectare; shared mainlines across the master block. Opening CapEx ₦3.5 million (headworks + 1 ha). Incremental **₦1.0 million per additional hectare**, plus triggered shared works: second borehole ₦6 million at 15 ha; packing shed ₦8 million at 27 ha; packhouse, cold room and third borehole ₦40 million at 72 ha.

IPM: resistant hybrids, traps, scouting, biologicals where feasible, targeted chemistry. Ogun is insulated from the main northern *Tuta* belt; Peak season is still modelled as higher cost and lower yield.

Indicative water duty 4,000–6,000 m^3/ha/cycle under drip, to be replaced by the agronomist. Borehole design is sized to 100 ha **before Cycle 5**.

4.5 Post-harvest handling & logistics

Plastic crates from Cycle 1 (not raffia). Spoilage target **<5%**. Yields in the model are already net of a small field loss. Insulated or refrigerated trucking at **₦900/basket** in the planning case. Grading on size, colour, firmness and defects. Speed-to-market is the cold chain until the Cycle 5 packhouse.

4.6 Staffing plan

Seasonal field labour sits inside per-hectare production cost. Management scales with acreage and is the binding operational constraint from Cycle 4.

Role	Cycles 1–2 (1–3 ha)	Cycles 3–4 (15–27 ha)	Cycles 5–6 (72–100 ha)
Farm manager	1	1	1 senior
Field supervisors	0	1–2	4–6
Logistics / Mile 12	Owner	1	2
Finance & admin	Owner	1	2–3
Modelled monthly management payroll	₦70,000	₦550,000	₦2,600,000

PAYE, pension (Pension Reform Act 2014) and NSITF/ITF are quantified with advisors as payroll formalises.

4.7 Sales-unit transition — baskets to bulk

The 50 kg basket is the primary unit through Cycle 4 (27 ha). From Cycle 5 (72 ha), ≈70% of output moves to standing bulk contracts at a 10% discount to spot (7% blended haircut, built into every scenario). ≈30% remains Mile 12 spot for price discovery.

4.8 Production cost build-up (planning case, Year 1, pre-mechanization discount)

Line (share of base)	Regular ₦/ha	Peak ₦/ha
Hybrid seed & seedlings (30%)	1,020,000	1,140,000
Fertilizer & fertigation (20%)	680,000	760,000
IPM / crop protection (12%)	408,000	456,000
Seasonal labour (18%)	612,000	684,000
Irrigation operating cost (8%)	272,000	304,000
Staking, twine, mulch (7%)	238,000	266,000
Nursery & miscellaneous (5%)	170,000	190,000
Base production cost	**3,400,000**	**3,800,000**

NAIC arable cover is **2% of production cost on top**. Quotations replace these shares before a BOA appraisal.

5. Growth & Expansion Roadmap

5.1 Master block strategy

A master option/lease is executed across the contiguous 100-hectare block before operations begin. Bringing a new parcel into cultivation is then irrigation, land preparation and staffing — not a new legal negotiation.

5.2 Cycle-by-cycle organic expansion

The path is 1 → 3 → 15 → 27 → 72 → 100 ha. Jump sizes are what the reinvestment pool can buy, subject to the 45 ha/cycle ceiling. Cycles 1–4 are cash-unconstrained after Cycle 1 Peak; from Cycle 4 the ceiling binds.

Cycle	Added	Area	Mech.	Planning revenue	Planning NPAT	Cycle CapEx
C1 Y1 Peak	start	1 ha	0	₦52.2m	₦30.0m	opening at t=0
C2 Y1 Regular	+2	3 ha	0	₦39.6m	₦16.4m	₦2.0m drip
C3 Y2 Peak	+12	15 ha	1	₦783.0m	₦465.3m	₦18.0m drip + borehole
C4 Y2 Regular	+12	27 ha	2	₦356.4m	₦157.6m	₦20.0m drip + shed
C5 Y3 Peak	+45	72 ha	3	₦3.50bn	₦2.07bn	₦85.0m drip + packhouse
C6 Y3 Regular	+28	100 ha	3	₦1.23bn	₦508.3m	₦28.0m drip

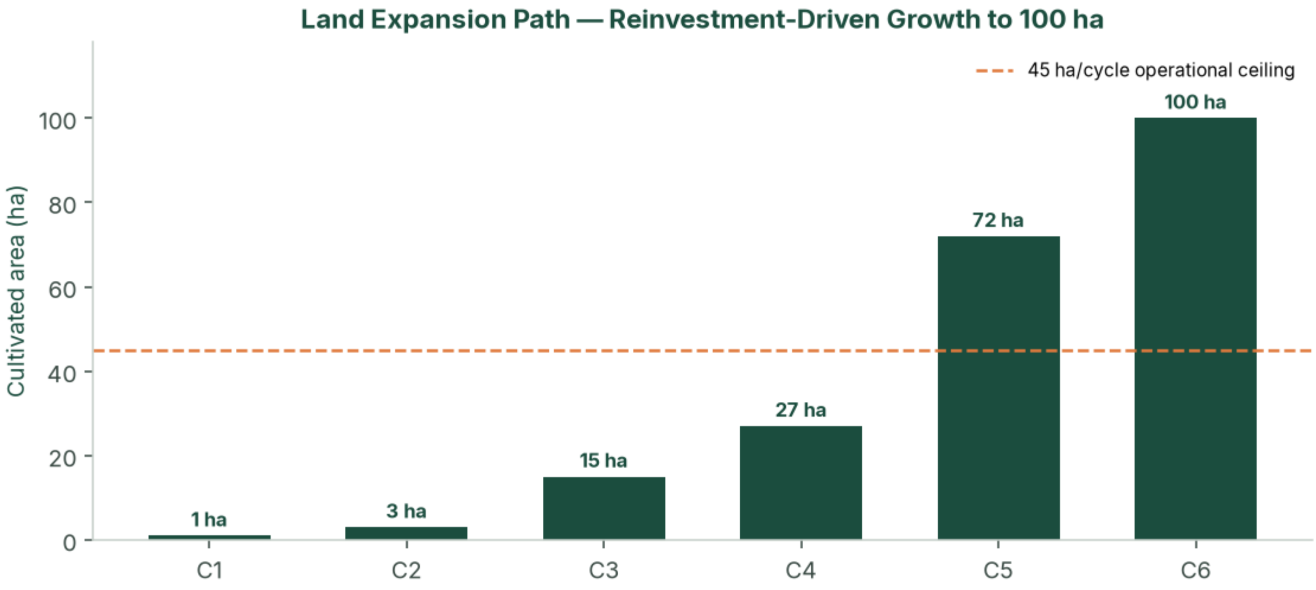

Figure: Land expansion path by cycle (reinvestment-driven, capped at +45 ha/cycle).

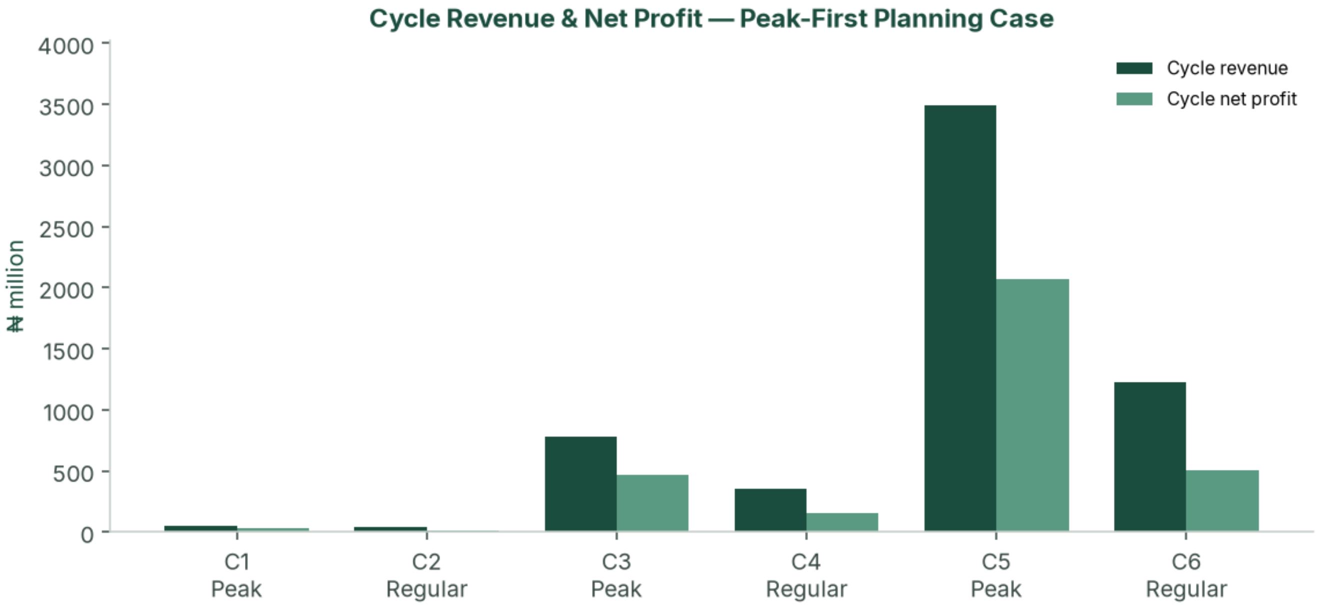

Figure: Cycle revenue and net profit — Peak-first planning case (₦ million). Peak cycles dominate value creation.

Do not plant the Cycle 6 Regular step to 100 ha unless that glut-window harvest is contracted; the add can wait for the following Peak without breaking the three-year idea of the plan.

5.3 Lease-to-own pathway

From Year 2, selected parcels convert to owned land where the lease allows, using buffer reserves. This is not required for the P&L to work. It strengthens the balance sheet and provides real-asset backing for any later facility or downstream investment.

5.4 Implementation timeline

Phase	Timing	Key activities
Pre-operations	Months −4 to 0	Incorporate; TIN; master option/lease with assignment; soil + borehole tests; ₦8m paid-in; NAIC/GIT bind; farm manager; FMC advisory; seed and drip quotations
Cycle 1 Peak	Months 0–6	1 ha into Jul–Nov scarcity; Mile 12 buyer log; cycle-close pack; 50/50 split; prepare +2 ha
Cycle 2 Regular	Months 6–12	3 ha Regular; first glut test with Peak cash already in; reinvestment into +12 ha
Cycles 3–4	Year 2	15 → 27 ha; Stage 1→2 mechanization; finance hire; two offtake LOIs; optional ₦80m facility; selective lease-to-own
Cycles 5–6	Year 3	72 → 100 ha; Stage 3; packhouse; 70/30 bulk/spot; full team
Steady state	Year 4+	Dual-cycle 100 ha; yield/cost improvement; optional processing from buffer (separate study)

6. Financial Plan

The engine is `model/financial_model.py`. The **planning case** is Peak-first at non-glut Mile 12 prices (₦145,000 / ₦33,000), agronomic yields, the complete cost stack, and full NTA 2025 tax. The **upside case** is the same crop path with the five-year agri income-tax holiday. The **stress case** stacks glut Regular prices, weaker Peak, lower yields and 17% cost inflation.

6.1 Scenario design

	Stress	Planning (Peak-first)	Upside
Yield Regular / Peak	15.0 / 13.5 t/ha	**20 / 18 t/ha**	20 / 18 t/ha
Price Regular / Peak	₦15,000 / ₦55,000	**₦33,000 / ₦145,000**	₦33,000 / ₦145,000

	Stress	Planning (Peak-first)	Upside
Production cost / ha	₦4.25m / ₦4.75m	**₦3.4m / ₦3.8m**	₦3.4m / ₦3.8m
Logistics / basket	₦1,300	**₦900**	₦900
Cost inflation	17%	**12%**	12%
Sale prices	Flat	**Flat**	Flat
First cycle	Peak	**Peak**	Peak
Tax	Full NTA 2025 (Y1 small-company 0%)	**34% (30% CIT + 4% levy)**	5-year agri holiday

All three cases include: phased CapEx, NAIC 2%, cargo 1.5%, management payroll, 5% contingency, D&A, holding-fee lease, 7% bulk haircut from Cycle 5, mechanization discounts 7/14/20%.

Prices are held **flat** while costs inflate. That is conservative for Years 1–3 and demanding for Years 4–5 — which is why the stress-case Year 5 EBIT margin compresses to 5%, and why any facility past Year 4 should include a price-review clause.

6.2 Year 3 comparison

	Stress	Planning	Upside
Revenue	₦1.41bn	**₦4.72bn**	₦4.72bn
NPAT	₦219m	**₦2.57bn**	₦3.90bn
Net margin	15.5%	**54.5%**	82.6%
5-yr NPV @ 18% (no TV)	₦259m	**₦5.12bn**	₦7.78bn
Cycle 1	Profit ₦7.1m	**Profit ₦30.0m (MoS 87%)**	Profit ₦45.5m (holiday)

The stress case remains NPV-positive at 18%. Cycle 1 is Peak, so even the stacked glut/weak-Peak stress still prints a first-cycle profit. Regular glut is tested in Cycle 2, after Peak cash is in.

6.3 Planning-case annual P&L

₦ million	Y1	Y2	Y3	Y4	Y5
Revenue	91.8	1,139.4	4,722.9	6,082.2	6,082.2
EBIT	70.4	943.8	3,901.3	5,017.8	4,893.3
EBIT margin	76.7%	82.8%	82.6%	82.5%	80.5%
Tax @ 34%	23.9	320.9	1,326.4	1,706.1	1,663.7
NPAT	**46.5**	**622.9**	**2,574.8**	**3,311.8**	**3,229.6**
Net margin	50.6%	54.7%	54.5%	54.5%	53.1%
Cumulative 50% buffer	23.2	334.7	1,622.1	3,278.0	4,892.8

Output VAT: fresh produce treated as **exempt**. The planning case does not spend the agri tax holiday; that cash appears only in the upside case, subject to a written tax opinion.

6.4 Profit allocation (50/50)

₦ million	Y1	Y2	Y3
50% buffer (annual)	23.2	311.5	1,287.4
50% reinvested	23.2	311.5	1,287.4
Cumulative buffer	23.2	334.7	1,622.1

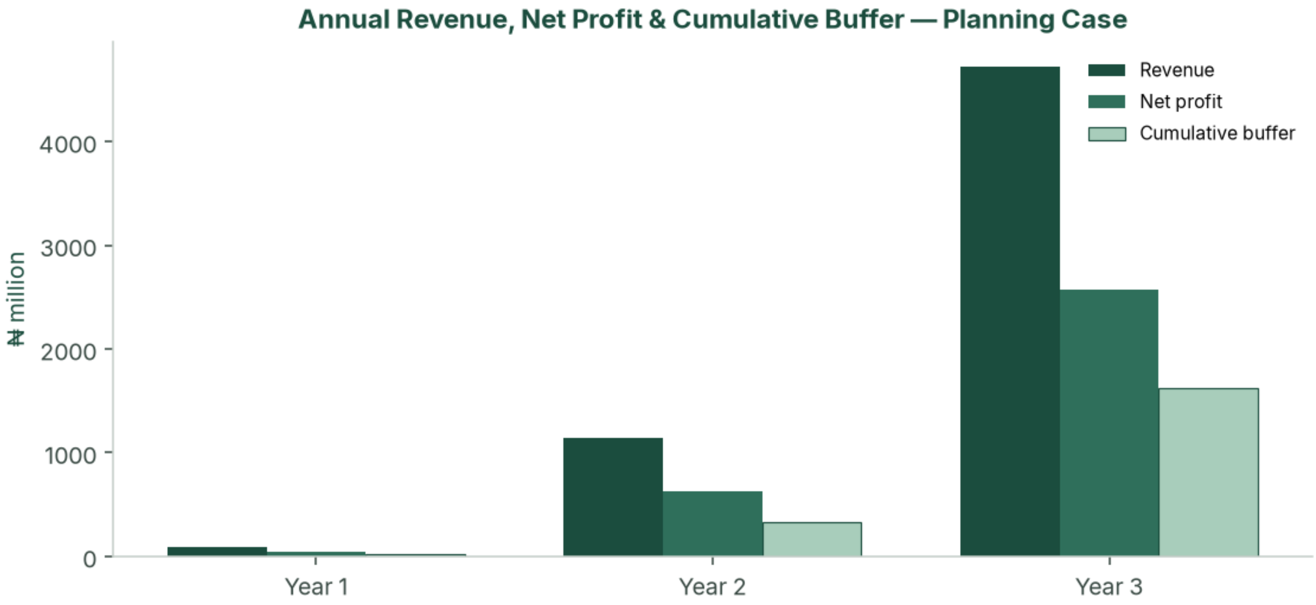

Figure: Annual revenue, net profit and cumulative buffer — Peak-first planning case (₦ million).

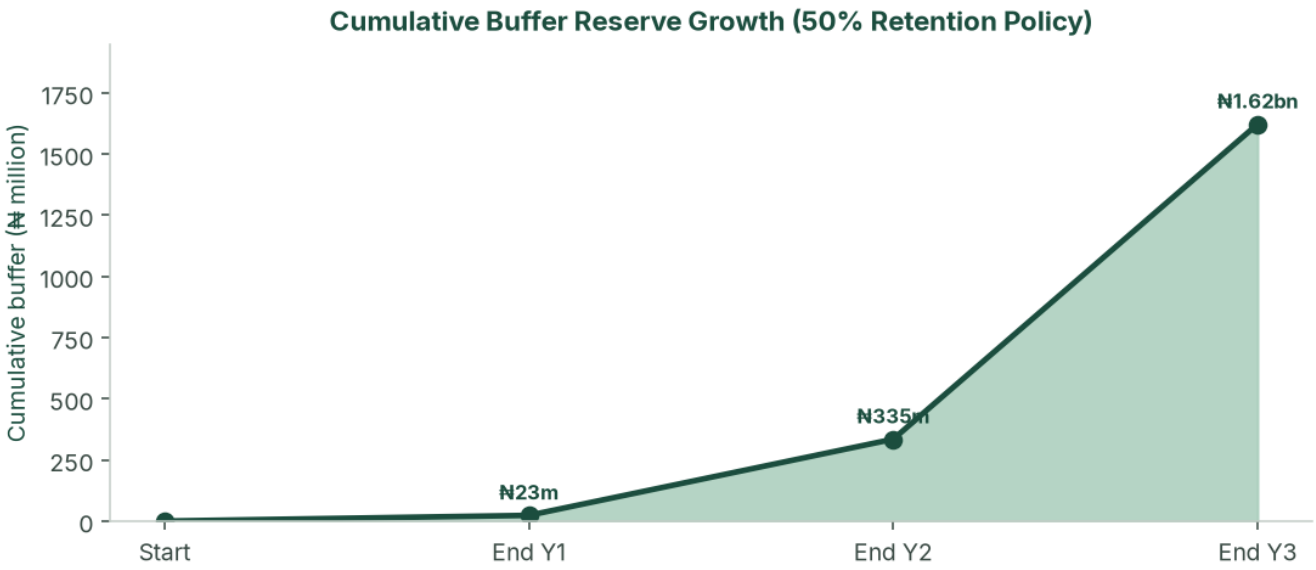

Figure: Cumulative buffer reserve under the 50% retention policy — planning case.

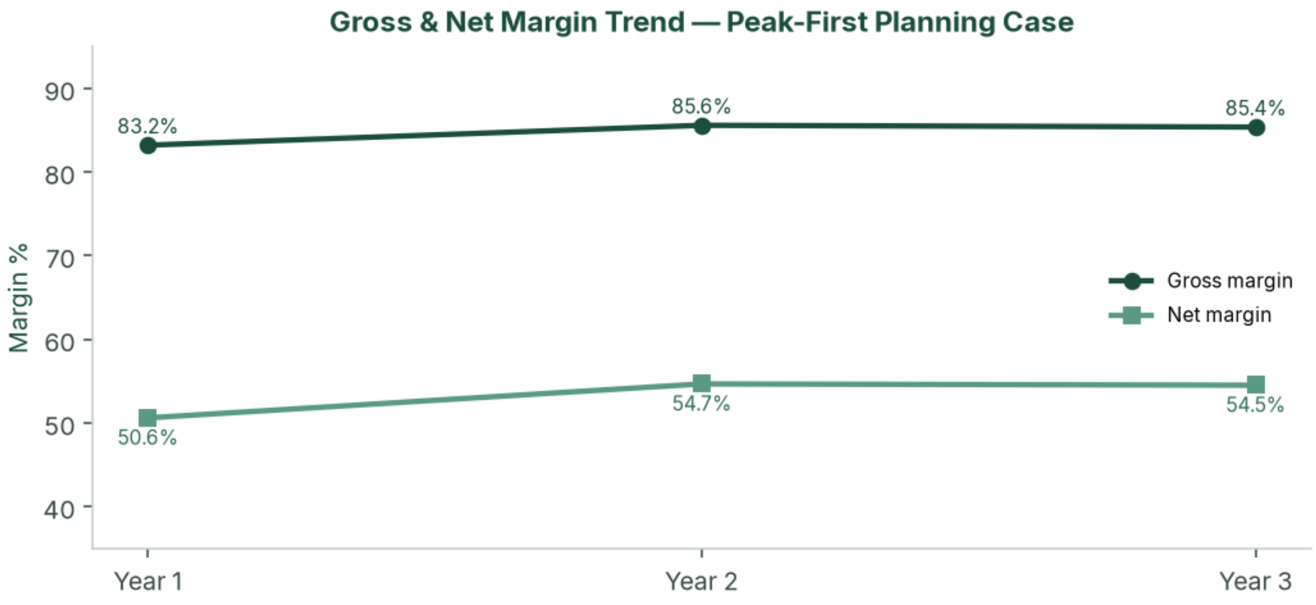

Figure: Gross and net margin trend — planning case, three modelled build-out years.

6.5 Cash flow and balance sheet (planning case)

₦ million	Y1	Y2	Y3	Y4	Y5
CapEx	(5.5)	(38.0)	(113.0)	—	—
Owner equity	8.0*	—	—	—	—
Closing cash	49.9	640.6	3,126.3	6,464.3	9,720.2
Net PPE	5.6	37.8	126.9	100.7	74.4
Debt	—	—	—	—	—
Equity	55.5	678.4	3,253.2	6,565.0	9,794.6

*Owner equity of ₦8.0 million at t=0. Mile 12 is modelled as cash sales (T+0 to T+3).

6.6 CapEx programme

Irrigation does not scale at zero marginal cost. The study phases drip, boreholes and packhouse as hectares come in.

Trigger	Item	₦
t = 0	Headworks, 1 ha drip, crates, tools, legal	3,500,000
3 ha (C2)	+2 ha drip @ ₦1.0m	2,000,000
15 ha (C3)	+12 ha drip + second borehole	18,000,000
27 ha (C4)	+12 ha drip + packing shed	20,000,000
72 ha (C5)	+45 ha drip + packhouse / cold / third borehole	85,000,000
100 ha (C6)	+28 ha drip	28,000,000
Total through Year 3		**156,500,000**

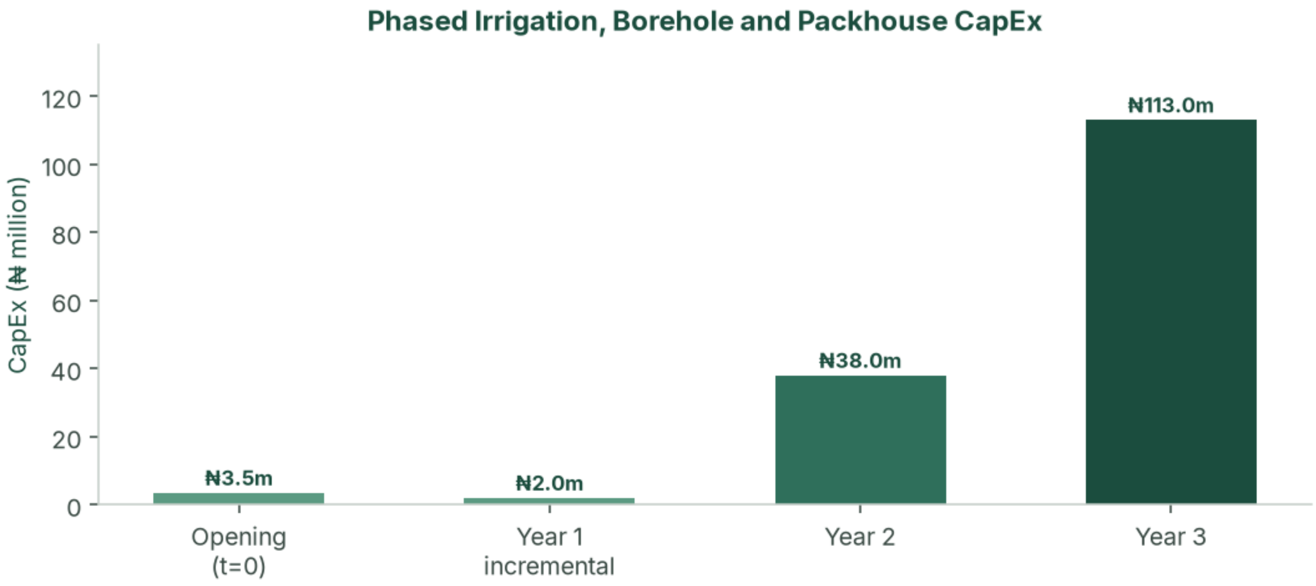

Figure: Phased irrigation, borehole and packhouse capital expenditure. Funded from operations after Cycle 1 Peak. Cycle 5's ₦85 million step is why Peak Cycle 3 and Regular Cycle 4 must print.

6.7 Break-even (Cycle 1 Peak — non-glut)

	Stress	Planning	Upside
Break-even ₦/basket	₦28,738	**₦18,654**	₦18,654
Cycle 1 selling price	₦55,000	**₦145,000**	₦145,000
Margin of safety	47.7%	**87.1%**	87.1%
Cycle 1 NPAT	₦7.1m	**₦30.0m**	₦45.5m

Planning-case payback on opening equity is **Cycle 1 Peak**, inside the first harvest.

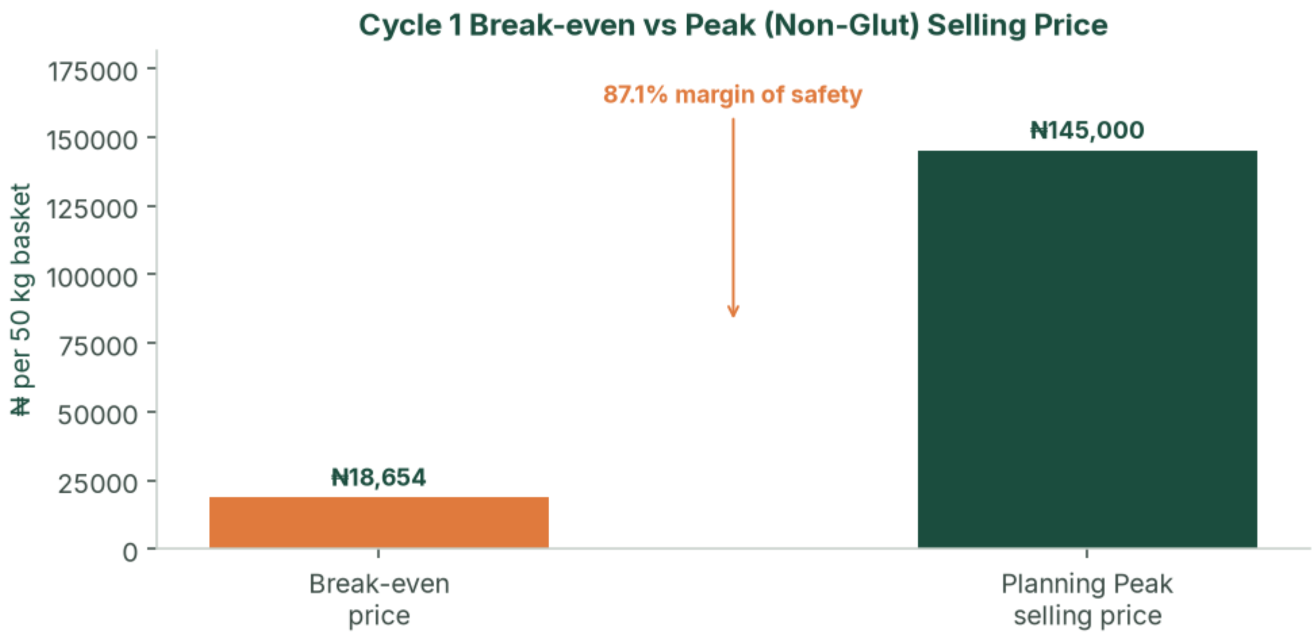

Figure: Cycle 1 break-even price versus planning Peak selling price (87.1% margin of safety).

6.8 Sensitivity

Peak cycles carry the enterprise. Regular glut is the second cycle, not the plan. The designed stress case (yield −25%, Peak ₦55k, costs +25%, 17% inflation) is the stacked test.

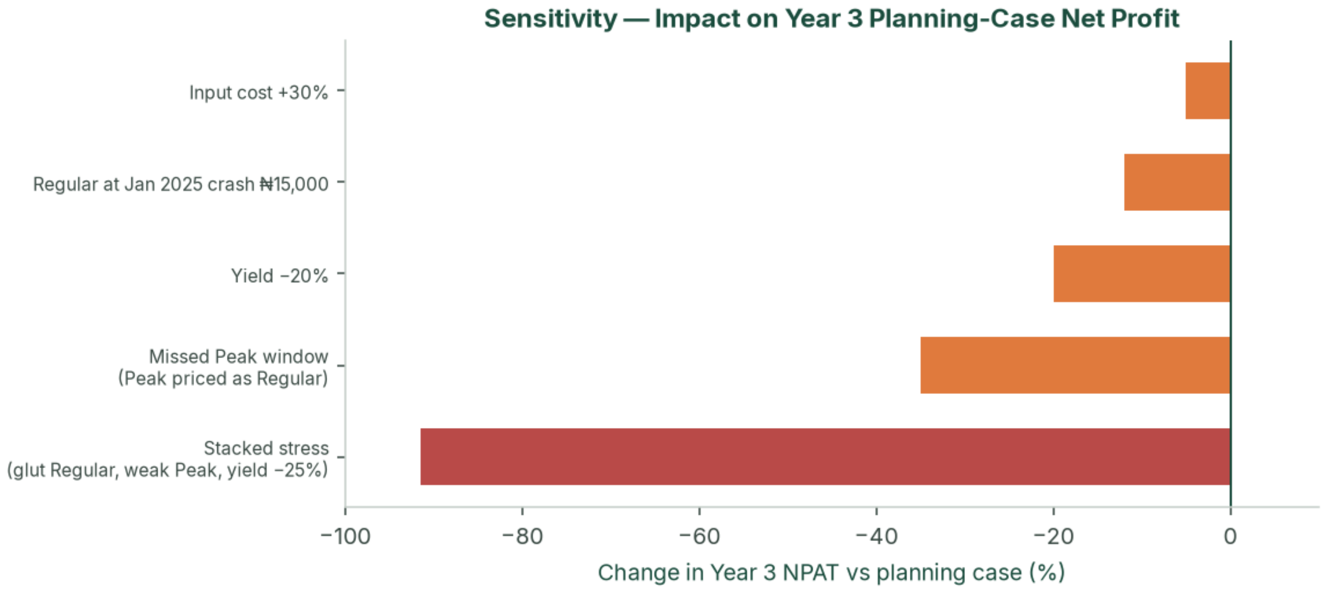

Figure: Sensitivity of Year 3 planning-case net profit to price, yield and cost shocks, including the stacked stress case.

A Peak window missed entirely (Peak price equal to Regular) is the operating kill scenario. Hold one full Peak NPAT in the buffer before the +45 ha step.

6.9 NPV, IRR and investment metrics (planning case)

Unlevered FCF = EBIT × (1 − 34%) + D&A − CapEx. t = 0 is −₦8.0 million in the engine.

	t=0	Y1	Y2	Y3	Y4	Y5
FCF ₦m	(8.0)	45.4	590.7	2,485.8	3,338.0	3,255.8

Discount	NPV
10%, no terminal value	₦6.69bn
18%, no terminal value	**₦5.12bn**
18% + Gordon TV (g = 3%)	₦14.88bn

Project IRR on this path is very high because opening equity is small relative to Cycle 1 Peak cash. **NPV at 18%, Cycle 1 cash coverage, and DSCR (if geared) are the decision metrics** — not IRR.

6.10 KPIs (cycle pack, within 21 days of last sale)

Tonnes sold, average realised ₦/basket, spoilage %, cash / next-cycle opex, buffer balance, 50/50 split, next-cycle planting plan. Target spoilage <5%. Peak blended realisation at least ₦55,000 in the stress floor; Regular at least ₦15,000.

6.11 Sources & uses and working capital

Opening pack — ₦8,000,000

Use	₦	Source	₦
Cycle 1 CapEx (drip, nursery, irrigation, tools)	3,000,000	Promoter equity	8,000,000
Cycle 1 working capital (inputs, labour, lease, logistics, market)	5,000,000	Bank / DFI	—
Total	**8,000,000**	**Total**	**8,000,000**

This is the original opening pack. No bank or DFI facility is required to start. After Cycle 1 Peak, working-capital demand is met from internally generated cash. Cycle 5 (₦364 million opex + ₦85 million CapEx) proceeds only with Cycle 3–4 cash in the bank.

6.12 Optional ₦80 million facility

The plan does not need debt to reach 100 ha. The optional facility exists so that a BOA / NIRSAL / ACGSF file is fully specified if promoters later want to protect the buffer through Year 2 expansion.

Term	Illustration
Amount / draw	₦80 million at start of Year 2
Use	C3–C4 drip, borehole, packing shed, WC reserve, prepaid NAIC
Rate	BOA production: 9% + 1% p.a. management + 0.5% appraisal
Shape	Year 2 interest-only; Years 3–5 amortising
Minimum DSCR	**113×** planning; **4.0×** stress (covenant 1.50×)

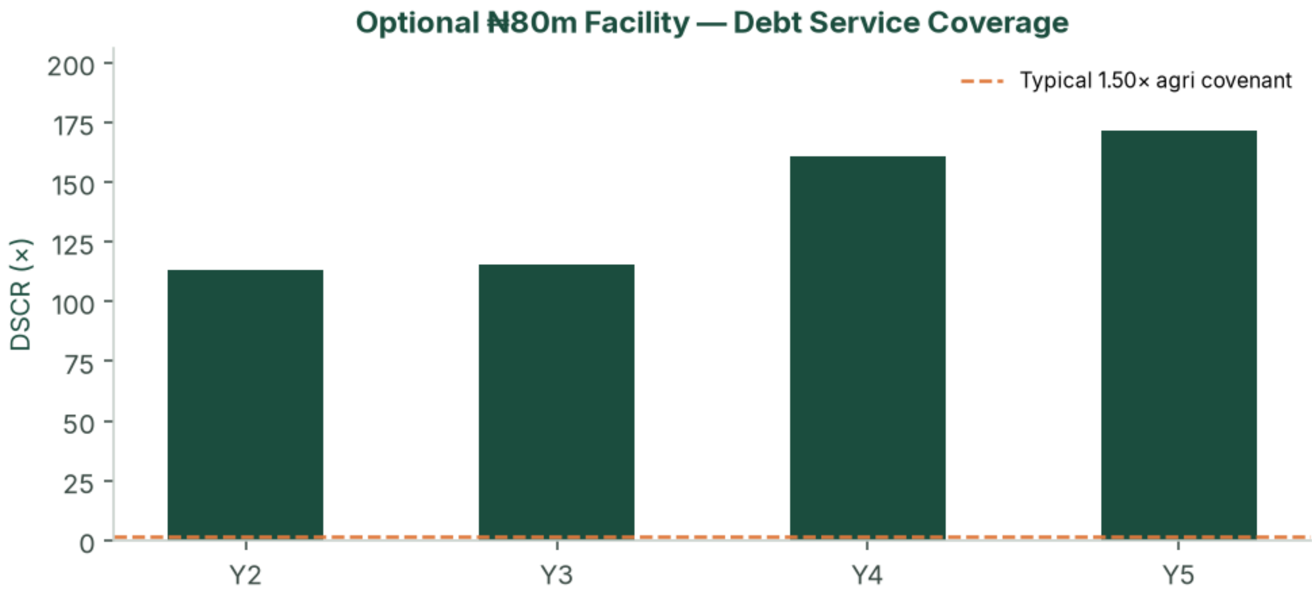

Figure: Debt service coverage on the optional ₦80 million facility — planning case versus a typical 1.50× agricultural covenant.

Security, if drawn: all-asset debenture; assignment of the master lease/option (negotiate now); charge over drip and packhouse; NAIC loss-payee; promoter guarantee; BOA lien deposit 10–20% if that product is used. Year 2 planning-case cash (₦641 million) would cash-collateralise the ticket after Cycle 1–2.

7. Risk Assessment

The enterprise is high-margin, Peak-dependent and operationally constrained. It is not a thin row-crop that dies at a 10% price move. Residual high-impact items are execution: Peak timing, +45 ha mobilisation, tenure, and Cycle 1 cash coverage — all addressed in the pre-ops list.

7.1 Market risks

Risk	L	I	Mitigation
Peak below ₦90,000	M	H	Plan is ₦145k; stress ₦55k still Cycle-1-profitable; buffer
Regular glut ₦13–15k	M	M	Cycle 2 Regular may compress; do not size Year 1 debt off Regular
Self-cannibalisation at 72–100 ha	M	H	70% bulk from C5 contracted, not hoped
Bulk buyer default	L	M	40% concentration cap; 30% spot sleeve
New southern intensive entrants	L	M	18-month relationship lead; capital wall

7.2 Operational and tenure risks

Risk	L	I	Mitigation
Missed Peak harvest window	M	H	Calendar reverse-engineered from Mile 12; farm-manager KPI
Staffing / +45 ha mobilisation	H	H	Hard ceiling; FMC SLA; option to delay add to next Peak
Irrigation failure	L	H	Spares; dual borehole from 15 ha
Tuta / Peak disease	M	H	IPM; lower Peak yield; NAIC
Lease defective / family claim	L	H	Counsel opinion; assignment language; holding fee + option
Water short at 100 ha	M	H	Pumping test sized to 100 ha before C5

7.3 Financial, tax, FX

Inflation 17% versus flat prices through Year 5 is the stress-case Year 5 5% EBIT path — keep facilities short or include a price reset. The agri holiday is upside only until a tax opinion exists; the planning case is fully taxed. Imported seed and drip FX is managed by early procurement and naira quotations.

7.4 Regulatory and legal

CAC limited company before transplanting, with agriculture in the objects and an express borrowing power. TIN from Cycle 1. Pension Reform Act once management is employed. Master lease reviewed for renewal, sub-lease, lease-to-own and lender assignment. OGEPA screening on land use; escalate before packhouse.

7.5 Insurance (costed)

Cover	Basis	Bind
NAIC (or equivalent) arable / weather-index	2% of production cost per cycle	Every cycle before transplant
Goods-in-transit	1.5% of logistics	Every haul
Public / product liability + key person	₦180,000 + ₦8,000/ha per cycle	Cycle 1
Asset all-risks on drip, pumps, packhouse	Quoted at installation	At installation

BOA publicly cites NAIC arable at 2% of material inputs — aligned with the model.

7.6 Overall

Structural margins in the planning case (EBIT 77–83%) and the 50% buffer are the safety cushion. Market-absorption risk at full scale is addressed via the Cycle 5 bulk transition. The binding constraint from Cycle 4 is operational bandwidth — which is why the 45 ha/cycle ceiling is part of the plan, not a later discovery.

8. Environmental, Social & Governance

8.1 Environmental

Drip reduces water per tonne versus flood or rain-fed waste. Short haul cuts embedded loss versus the northern corridor (40–50% typical). IPM aims to cut blanket insecticide versus high-pressure northern systems. Quantified water (m^3/t) and pesticide (kg ai/ha) KPIs start Cycle 2.

IFC Performance Standards screening: OGEPA letter and a simple ESMP at 1–15 ha; labour terms and no child labour; spray buffers and haul hours; confirm the block is not wetland or forest reserve; chance-find procedure. Full ESIA is unlikely at 1 ha and likely at packhouse / 72 ha.

8.2 Social

Seasonal harvest employment scales with hectares; permanent staff follow the organogram. Skills transfer via the farm-management company. Prefer local labour for harvest. Pension Reform Act compliance for formal staff.

8.3 Governance

Cycle-level close, 50/50 rule, audit from Year 1, related-party lease disclosure, and a collection account if any facility is live. Board: promoter plus one independent with agribusiness or audit experience from Cycle 3. Reserved matters: new debt above ₦10 million; related-party leases; change of 50/50; sale of the leasehold interest; offtake above 40% with a single counterparty.

9. Conclusion & Recommendations

9.1 Feasibility verdict

This study finds the venture **feasible**. Starting from one hectare and ₦8 million of paid-in capital, the Peak-first planning case reaches the full 100-hectare master block in six cycles — three years — without required external financing. It is underpinned by a structural tomato supply deficit, Ogun's geographic advantage, a first harvest timed into Mile 12 scarcity rather than glut, and a capital-allocation policy that funds growth from retained profit while holding a cash buffer.

The planning-case NPV at 18% is **₦5.12 billion** (five years, no terminal value). The stress case remains value-accretive at 18% (₦259 million). The upside case, if the agri tax holiday holds on the same crop path, is ₦7.78 billion at the same discount.

9.2 Critical success factors

1. Peak harvest timed into the July–November scarcity window.
2. ₦8 million paid-in before Cycle 1 transplant.
3. A bankable lease/option with assignment rights and a holding fee.
4. Uncompromising 50/50 allocation and the 45 ha/cycle ceiling.
5. Bulk offtake signed before the Cycle 6 Regular step to 100 ha.
6. Cycle-level books from harvest one.
7. Irrigation integrity — modelled yields are drip-dependent.

9.3 Recommendations

- Incorporate SNLB Farms as a limited company; open a dedicated operating account; pay in ₦8 million.
- Instruct counsel on the master option/lease before drip deposits.
- Commission soil and borehole tests on the first 10 ha.
- Bind NAIC and GIT; hire the farm manager; engage an FMC on advisory terms.
- Run Cycle 1 as a Peak / non-glut proof cycle into July–November. Use that cash to fund Cycle 2 Regular.
- Begin bulk-contract conversations in Cycles 3–4.
- Confirm with the farm-management company, before Cycle 4, that +45 ha can actually be mobilised — revise the ceiling down if not.
- Obtain a tax opinion on the NTA 2025 agri holiday; the planning case does not spend that cash.
- After the Cycle 2 audit pack, raise the optional ₦80 million facility only if it accelerates packhouse quality — not because the model needs it.
- Do not mix processing, export or a second 100 ha into this NPV.

9.4 Final statement

The opportunity is a structural tomato deficit, a 1.5-hour corridor to the price-setting market, and a two-cycle calendar that turns national volatility into a P&L feature. The plan is a thoroughly costed path from one hectare to one hundred — provided the pace of land expansion is matched, cycle for cycle, by staffing, drip and offtake, which the numbers show will be the true limiting factor almost from the outset.

10. Appendices

A. Glossary

Term	Meaning
Regular season	Dec–Jun glut-aligned cycle
Peak / scarcity season	Jul–Nov cycle aligned with northern supply collapse
50/50 rule	NPAT split: 50% cash buffer, 50% reinvestment
Master block	Contiguous 100 ha under option/lease
Planning case	Peak-first non-glut prices and agronomic yields, full tax
Upside case	Agronomic yields, observed Peak prints, agri tax holiday
Stress case	Glut Regular, weaker Peak, lower yield, faster inflation
DSCR	EBITDA / (interest + fees + principal)
NTA 2025	Nigeria Tax Act 2025
NAIC	Nigerian Agricultural Insurance Corporation (or equivalent)
BOA	Bank of Agriculture
ACGSF	Agricultural Credit Guarantee Scheme Fund

B. Conditions of first planting

1. CAC incorporation, TIN, MEMART with agri objects and borrowing power.
2. ₦8,000,000 paid into the farm account, with the share register and board minutes.
3. Executed master option/lease with lender-assignment language.
4. Independent soil test and borehole yield/quality on the first 10 ha.
5. Named farm manager (CV) and FMC advisory letter.
6. NAIC and GIT bound for Cycle 1.
7. Seed and drip quotations.
8. Promoter KYC (NIN, BVN, ID, PEP).
9. Tax engagement letter (holiday versus 34%).
10. Cycle 1 budget signed against ≈₦6.7 million planning-case cash opex (Peak, 1 ha).

Subsequent gates: Cycle 1 Peak management accounts; Regular IPM before Cycle 2; two offtake LOIs before Cycle 3; mechanization SLA and 100 ha water note before Cycle 4; bulk term sheet before Cycle 5 (or delay the 100 ha Regular step); Year 1 audit within 120 days.

C. Data-room index

Corporate (CAC, MEMART, TIN) · Land (lease/option, survey, counsel) · Technical (soil, water, drip, seed, IPM, calendar) · Market (price log, LOIs) · Financial (statements, cycle packs, tax, insurance) · ESG (OGEPA, labour) · Security (asset register) · Quotations.

D. Model files

`snlb-farms/model/financial_model.py` · `outputs/model_results.json` · `credit_cycle_pnl.csv` · `credit_annual.csv` · `credit_debt_dscr.csv` · charts in `snlb-farms/charts/`.

E. Primary sources & benchmarks

NIHORT production guidance and HortiTom4/5 notes. Olam-Caraway public yields. Mile 12 price points from Businessday, Nairametrics, Vanguard and related reporting, August 2024 – July 2026. NBS food inflation May 2026 (16.96% y/y). Nigeria Tax Act 2025 (small-company test; 30% CIT; 4% Development Levy; 5-year agri exemption for qualifying crop production — confirm with counsel). BOA production-loan charges (9%; NAIC arable 2%). ACGSF up to 75% guarantee. Industry estimates: 3.7 Mt output; 40–50% post-harvest loss; US$350–

400m paste imports. Drip kit Nigerian retail ranges 2024–2026; model uses ₦1.0m/ha incremental plus shared headworks.

F. Document control

Version	Date	Notes
Comprehensive Feasibility Study	August 2026	Operating model, charts, three scenarios, phased CapEx, NTA 2025, DCF, optional facility, CPs

Prepared for SNLB Farms. Not for general circulation. Replace planning tables with live quotations and the site report before any binding credit application.